



TOWN OF TIBURON
1505 Tiburon Boulevard
Tiburon, CA 94920

Town Council Meeting
January 16, 2019
Agenda Item: **CC- 5**

STAFF REPORT

To: Mayor and Members of the Town Council

From: Community Development Department

Subject: Recommendation to Accept Annual Reporting of Development Impact Fees Pursuant to the California Government Code

Reviewed By:  

Greg Chanis, Town Manager

Benjamin Stock, Town Attorney

SUMMARY

The Town of Tiburon imposes three categories of fees that qualify as development fees. These categories are: 1) traffic impact fees; 2) street impact fees; and 3) stormwater runoff fees. State law requires end of year reporting of these development fees.

RECOMMENDED ACTION(S)

1. **Staff recommends the Town Council accepts this annual report as part of the Consent Calendar.**

BACKGROUND

Similar to most cities and counties in California, the Town of Tiburon imposes public facilities fees on development projects during the approval process. Certain of these fees are categorized as “development fees” under Section 66000 et seq. of the California Government Code. Section 66006 of that code requires specific data regarding development fees to be made available to the public within 180 days following the end of each fiscal year (i.e., by December 31), with a public meeting held on the matter at the next regularly scheduled meeting following release of the data. This report sets forth the required annual data reporting for the Town’s development fee accounts for Fiscal Year (FY) 2017-2018, which closed on June 30, 2018.

ANALYSIS

The Town of Tiburon imposes three categories of fees that qualify as development fees. These categories are: 1) traffic impact fees; 2) street impact fees; and 3) stormwater runoff fees. Park and recreation in-lieu fees and affordable housing in-lieu fees, which the Town also collects, are not defined as development fees. Required reporting data for each of the Town’s three development fee categories is shown below.

Traffic Mitigation Fees

Traffic mitigation fees have been collected by Town since 1980; the two current fee accounts were established in 1996, each addressing different portions of the Tiburon Planning Area. The Town Council received a mandatory five-year report on these funds in January 2017 and made findings regarding the future use of unexpended funds in these accounts; the next five-year review would be scheduled for January 2022. In August 2017, the Town Council adopted updated traffic mitigation fees that consolidate the collection of newly-received traffic impact fees into a single account that also contains the prior fees collected for improvements within the Town's corporate limits, which is called the Circulation System Improvement Fund. The pre-existing Planning Area Mitigation Fund will continue to exist, but will not receive any new contributions.

Circulation System Improvement Fund (CSIF): This fund contains the collected exactions for construction of public traffic improvements in the incorporated portions of the Tiburon Planning Area prior to October 15, 2017 and all traffic mitigation fees subsequently collected. The fee varies depending on the location of the project in relation to intersections identified in the General Plan Circulation Element as requiring improvement. The fee is \$7,174.76 per new PM peak hour trip generated.

TIBURON CIRCULATION SYSTEM IMPROVEMENT FUND		
Fund Balance, July 1, 2017		\$109,827
Revenues:		
Fees Collected	\$1,189	
Interest Income	\$1,112	
TOTAL REVENUES		\$2,301
Expenditures:	\$(0)	
TOTAL EXPENDITURES		\$(0)
Fund Balance, June 30, 2018		\$112,128

In the adopted FY 2018-19 budget there are no planned expenditures identified from this account. No inter-fund loans or transfers occurred from this account for FY 2017-18 and no refunds from this account were issued in FY 2017-18.

Planning Area Mitigation Fund (PAMF): This fund contains the collected exactions for public traffic improvements in portions of the Tiburon Planning Area outside of the Town's corporate limits, all of which were collected prior to October 15, 2017. No new fees are collected into this account.

TIBURON PLANNING AREA MITIGATION FUND
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Fund Balance, July 1, 2017		\$187,420
Revenues:		
Fees Collected	\$0	
Interest Income	\$2,550	
TOTAL REVENUES		\$2,550
Expenditures:	\$(0)	
TOTAL EXPENDITURES		\$(0)
Fund Balance, June 30, 2018		\$189,970

The FY 2018-19 Town budget contains no budget allocations from this fund. Future projects to which these funds would be contributed include a merge/acceleration lane at the Tiburon Boulevard/Cecilia Way intersection and capacity improvements at the Tiburon Boulevard/Redwood Highway Frontage Road intersection. These improvements are set forth in the General Plan Circulation Element, but are likely to be at least five years away. The cost of these improvements will exceed funds available at this time. No inter-fund loans or transfers occurred in this account for FY 2017-18 and no refunds from this account were issued in FY 2017-18.

Street Impact Fee

The street impact fee went into effect in July 1999. This fee partially off-sets the Town's costs of public roadway maintenance by assessing a fee of 1.0% (.01) on the valuation of all building permits issued by the Town. A project with a \$100,000 building permit valuation would therefore be subject to a street impact fee of \$1,000.

TIBURON STREET IMPACT FUND		
Fund Balance, July 1, 2017		\$2,577,131
Revenues:		
Fees Collected	\$474,838	
Interest Income	\$37,263	
	\$0	
Refund/Reimbursement		
TOTAL REVENUES		\$512,101
Expenditures:	\$(159,065)	
TOTAL EXPENDITURES		\$(159,065)
Fund Balance, June 30, 2018		\$2,930,167

EXPENDITURES		
<u>Projects completed FY 2017-18</u>	<u>Cost</u>	<u>% from Fund</u>
Pot Hole Repairs	\$159,065	100%
Total Projects FY 2017-18	\$159,065	100%

For FY 2018-19, the Town has identified in its adopted budget \$1,582,126 in planned street improvement projects to be funded by the Street Impact Fund. The Town maintains a Pavement Management Program (PMP), which analyzes the condition of the Town's streets and suggests appropriate repair/replacement techniques based on this analysis. In 2006, the Town embarked on an aggressive program to eliminate its "failed" street segments, which has been successfully completed. According to the most recent Pavement Management Program (PMP) update report, the Town's overall Pavement Condition Index (PCI) now stands at 76 (tied for best in Marin County along with the City of Belvedere) and up from a PCI of 66 in 2006. No refunds or transfers were issued from this account in FY 2017-2018. The Town Council received a mandatory five-year report on these funds in January 2015; the next such report is due in 2020.

Stormwater Runoff Fee

The Town began collecting stormwater runoff fees, also known as impervious surface fees, in 2005. The stormwater impact fee helps recover the costs of upgrading the Town's public storm drain system to accommodate additional runoff caused by new construction. The fee is \$1.00 per square foot of new impervious surface created by construction projects. The Town Council received a mandatory five-year report on these funds in January 2016 and made findings regarding the use of unexpended funds in this account. The next such report is due in January 2021.

STORMWATER RUNOFF (DRAINAGE IMPACT) FUND		
Fund Balance, July 1, 2017		\$38,168
Revenues:		
Fees Collected	\$1,472	
Interest Income	\$528	
TOTAL REVENUES		\$2,000
Expenditures:		
Storm Drainage Improvements	\$(15,303)	
Railroad Marsh Maintenance	\$(0)	
TOTAL EXPENDITURES		\$(15,303)

Fund Balance, June 30, 2018	\$24,665
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For FY 2018-19 the Town has \$30,000 in expenditures planned from the Storm Water Runoff Fund. No inter-fund loans, transfers, or refunds were issued to or from this account in FY 2017-18.

FINANCIAL IMPACT

The information provided is an annual report of development fees. There is no fiscal impact to accepting this report.

ENVIRONMENTAL REVIEW

Staff has preliminarily determined that adoption of this item is statutorily exempt from the requirements of the California Environmental Quality Act (CEQA) pursuant to Section 15378 of the CEQA Guidelines in that it does not constitute a project under CEQA, and if it were found to constitute a project, it would be exempt pursuant to the general rule set forth in CEQA Guidelines Section 15061 (b)(3).

RECOMMENDATION

Staff recommends the Town Council accepts this annual report as part of the Consent Calendar.

Prepared By: Scott Anderson, Director of Community Development